22 April 2026

AMAZON LEO

Market entry strategy in Italy

Group 4

amazon

PRESENTATION OVERVIEW

1. Market Opportunity
2. Key Challenges
3. Strategic Options
4. Recommendation
5. Implementation



A SIGNIFICANT UNTAPPED MARKET OPPORTUNITY IN ITALY



Untapped Demand

Strong unmet demand in rural and remote areas



Infrastructure Gap

Limited fiber coverage and unreliable alternatives



Technological Fit

LEO satellites enable fast and low-latency connectivity



Scalability Potential

Solution can scale quickly across undeserved regions

amazon MARKET OPPORTUNITY

ITALY'S BROADBAND: A TWO-SPEED COUNTRY

Strong urban coverage masks a persistent rural gap – the structural opening for satellite

Rural FTTP coverage	Italy DESI EU ranking	NRRP broadband fund	Satellite TAM by 2030
37.7%	**18th**	**€5.3B**	**$34B+**
vs 59.6% national avg	of 27 EU member states	EU investment committed	global LEO internet market

WHERE THE GAP IS

- South (Mezzogiorno): FTTP well below 40%
- Mountainous areas: Apennines, Alpine valleys
- Small islands: Sicilian archipelagos, Sardinia
- Low-density hamlets : DSL-only

WHY SATELLITE FITS ITALY

- Italy 39–47°N: within Leo Phase 1 coverage band
- Italy 1 Giga plan: tech-neutral, satellite eligible
- EU NRRP funds: subsidies for terminals possible
- Gov. Starlink talks signal appetite for satellite

Sources: EC Digital Connectivity Report · AGCOM Observatory · OECD Broadband 2025 · Point Topic Italy 2023

amazon COMPETITIVE LANDSCAPE

THREE LEO RIVALS, EACH WITH A DIFFERENT PLAYBOOK

Starlink is the incumbent · OneWeb/Eutelsat is the EU-sovereign option · AST SpaceMobile attacks mobile operators

MARKET LEADER

SpaceX Starlink

SpaceX

Constellation



7,000+ satellites

Download speed



45–280 Mbps

Italy status



Active + gov. deal

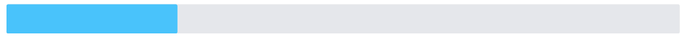
First-mover advantage. Ongoing $1.5B Italian government negotiation. Weakness: Musk political exposure in EU.

EU SOVEREIGN PLAY

OneWeb / Eutelsat

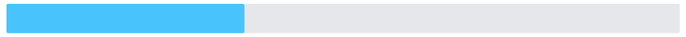
Eutelsat Group

Constellation



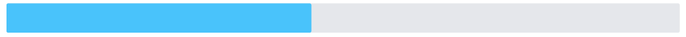
648 satellites

Download speed



~100 Mbps

Italy status



Enterprise/B2B

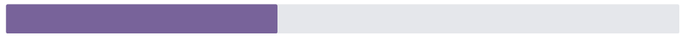
EU-sovereign narrative, B2B/maritime focus. Weakness: smaller fleet, lower throughput, limited consumer hardware.

EMERGING THREAT

AST SpaceMobile

Vodafone JV (SatCo)

Approach



Direct-to-phone

EU MNO reach



21 of 27 states

Italy link



Via Vodafone

Works on existing smartphones – no terminal needed. Vodafone JV already targeting Italian mobile base.

Amazon Leo advantage: up to 1 Gbps · 6–8× better uplink · AWS cloud integration · Enterprise partners: Delta, JetBlue, AT&T, Vodafone

SIX STRUCTURAL HEADWINDS AMAZON MUST NAVIGATE

01 HIGH

Satellite deployment lag

Only 241 sats launched vs 1,600 target by mid-2026. Full 24/7 coverage of Italy requires far more. Initial service gaps are likely.

02 HIGH

Starlink first-mover moat

$1.5B Italian gov. negotiation underway. Starlink has brand awareness and 7k+ sats. Enterprise lock-in risk for B2B clients.

03 MED

Regulatory complexity

Dual-authority regime (AGCOM + MiMIT): spectrum rights, PNRF 2024, EECC obligations, and ACN cybersecurity clearance all required.

04 MED

Terminal cost barrier

Hardware cost (Leo Nano/Pro/Ultra) risks being prohibitive for rural Italian households. EU vouchers may offset partially.

05 MED

Telecom incumbent resistance

TIM, Fastweb+Vodafone, Wind Tre dominate the market. They will lobby regulators and accelerate rural fibre to pre-empt satellite.

06 LOW

Digital skills gap

Over 50% of Italians lack basic digital skills (EU DESI 2022). Connectivity alone isn't enough – customer acquisition costs will be high.

Severity: HIGH MED LOW

amazon REGULATORY ROADMAP

FOUR-PHASE COMPLIANCE PATH FOR ITALY MARKET ENTRY

Dual-authority regime: AGCOM (market/spectrum supervision) + MiMIT (spectrum allocation/licencing) + ACN (cybersecurity)

PHASE 01 · 2026 H1

General Authorisation

- File with MiMIT for electronic comms authorisation
- Establish EU/EEA legal entity in Italy or EEA
- Register with AGCOM as e-comms provider
- Align with EECC (D.Lgs. 207/2021)

PHASE 02 · 2026 H1–H2

Spectrum Rights

- Apply for Ka-band individual rights via MiMIT
- Comply with PNRF 2024 National Frequency Plan
- Pay annual frequency fees (Art. 3(1)(e))
- ITU coordination for orbital slot filings

PHASE 03 · 2026 H2

Security & Data

- ACN clearance for critical network components
- GDPR compliance for Italian user data processing
- AWS data localisation assessment for Italy
- Net neutrality compliance (Reg. EU 2015/2120)

PHASE 04 · 2027

Subsidies & Scale

- Qualify under Italy 1 Giga plan (tech-neutral)
- EU NRRP terminal vouchers for rural households
- Engage AGCOM on universal service eligibility
- BEAD-equivalent Italian gov. rural fund access

Key risk: Italy's dual-authority regime (AGCOM + MiMIT) and ACN cybersecurity clearance add complexity vs single-regulator markets. Budget 12–18 months for full regulatory readiness.

WHAT THE DATA TELLS US ABOUT ITALY

1

Structural market gap exists – but it is specific

Rural Italy (37.7% FTTP), the South, islands, and alpine areas have no viable alternative to satellite. The urban market is already served and not the target.

2

Starlink is ahead, but not unbeatable

Leo's 1 Gbps speeds and AWS integration are genuine differentiators. The gov. Starlink deal is still negotiating – a window exists for Amazon to offer a competing value proposition.

3

Deployment lag is the #1 operational risk

Only 241 of 1,600 target satellites are in orbit. Italy service will initially have coverage gaps – this must be communicated clearly to manage expectations.

4

The regulatory path is navigable but slow

12–18 months from application to full service authorisation. The tech-neutral Italy 1 Giga plan and EU NRRP create funding pathways that lower the barrier to adoption.

→ Next: Strategy & Recommendations – Strategic options, final recommendation, why this is the best choice

STRATEGIC OPTIONS FOR ENTERING THE ITALIAN MARKET

DIRECT TO CONSUMER (B2C)

Rural households

Pros
- Addresses cear unmet demand
- Eligible for public subsidies (NRRP, Italy 1 Giga)
- Full control over costumer reationship

Cons
- High cosyumer acquisition cost
- Harware affordability barrier
- Low digital adoption in target segment

TELCO PARTNERSHIPS (HYBRID)

Telecom operators

Pros
- Faster market penetration
- Access to existing infrastracture & costumer base
- Reduced regulatory and distribution friction

Cons
- Lower margins
- Loss of direct customer ownership
- Strategic dependency on partners

ENTERPRISE & PUBLIC SECTOR (B2B)

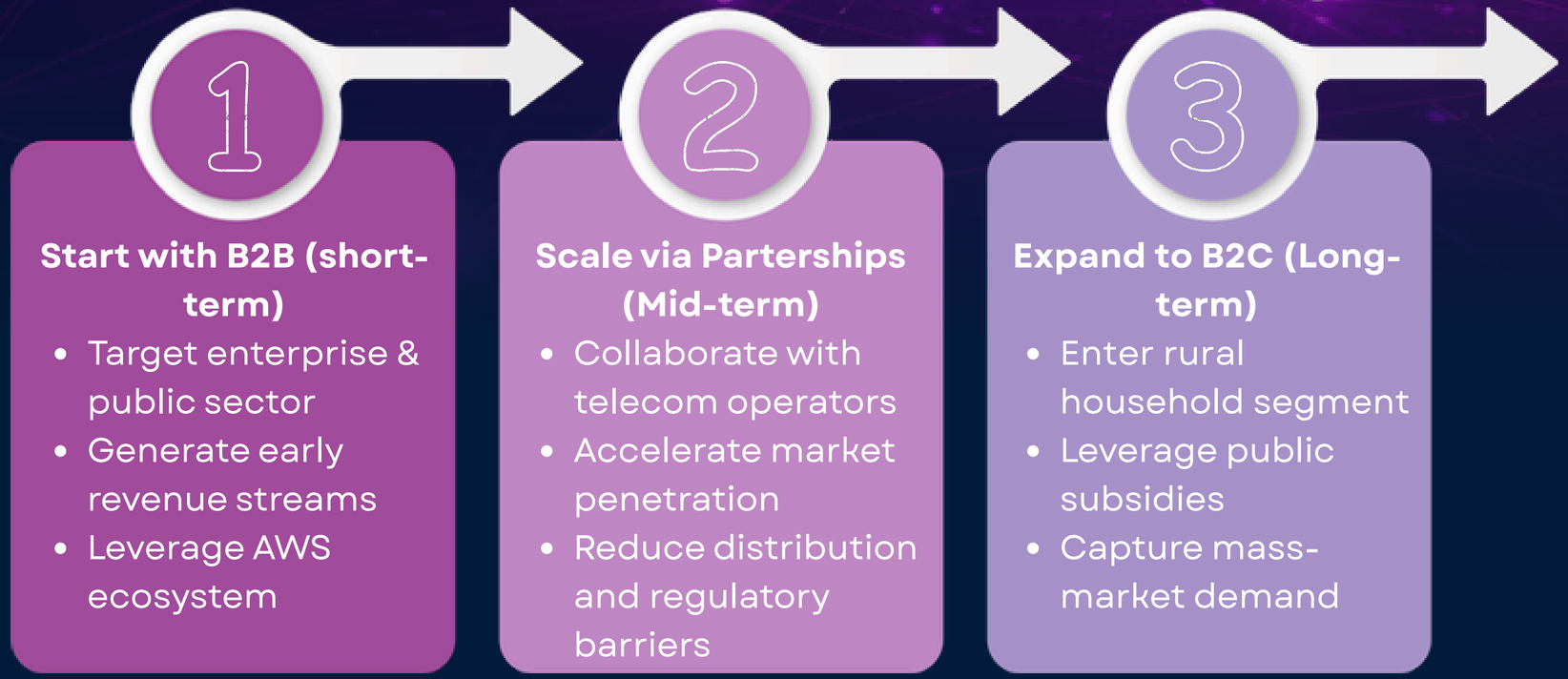
Aviation, maritime, governament

Pros
- Higher willingness to pay
- Immediate uses cases (mission-critical connectivity)
- Strong sinergy with AWS

Cons
- Smaller initial market
- Longer sales cycles
- Requires tailored solutions

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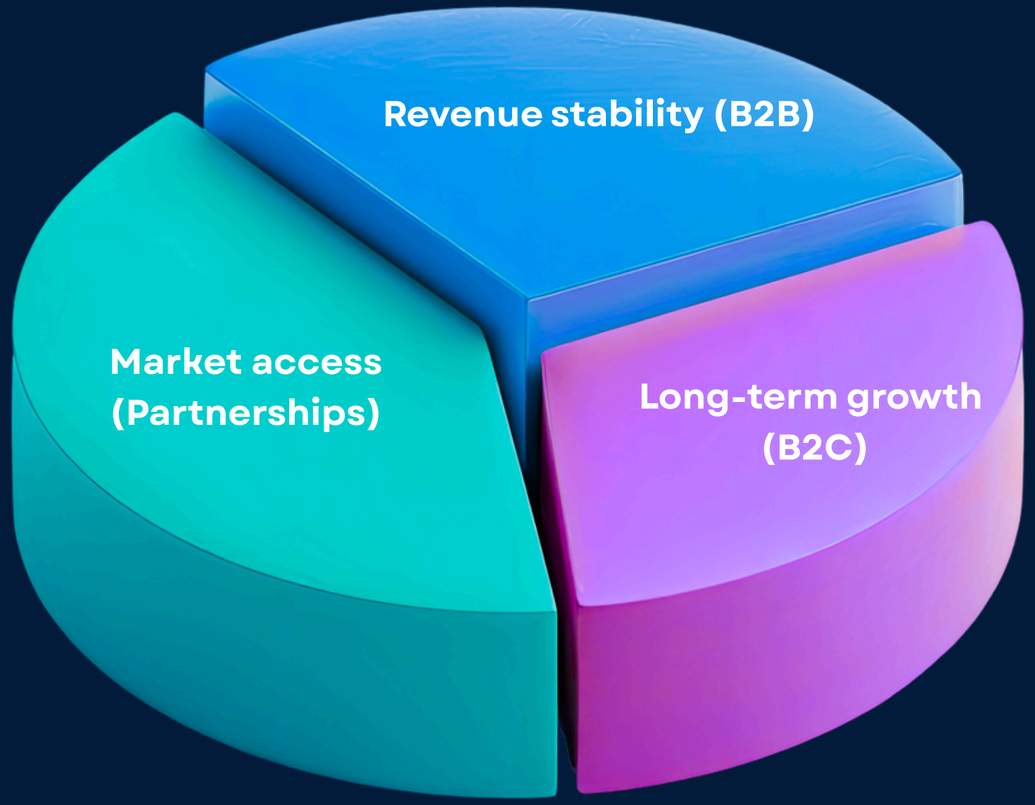
RECOMMENDED STRATEGY: HYBRID ENTRY WITH B2B-LED EXPANSION



A phased hybrid approach minimizes risk while maximizing long-term growth

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WHY THIS STRATEGY OUTPERFORMS ALTERNATIVES



Hybrid Strategy (Recommended)

- Balances risk, speed, and scalability
- Aligns with deployment constraints

Vs. Pure Strategies

- B2C only → High cost, slow adoption
- B2B only → Limited scale
- Partnership only → Loss of control

Only a hybrid approach delivers both short-term viability and long-term dominance.

amazon | IMPLEMENTATION

FROM APPROVAL TO MARKET LEADERSHIP

A four-phase path converting deployment lag into sequencing advantage

PHASE 01 2026

Foundation

- Secure regulatory clearance from the Italian Ministry (MiMIT), Telecom Authority (AGCOM) and Cybersecurity Agency (ACN)
- Register an Italian legal entity with headquarters in Milan
- Integrate AWS ground stations and local service points
- Launch three to five enterprise pilot programs

TARGET
General authorisation secured + first paying pilots

PHASE 02 2027

B2B Scale

- Commercial launch for enterprise and public-sector clients
- Focus on defense, energy, healthcare and emergency services
- Win government contracts: Civil Protection, Ministry of Defence, Italian Air Navigation (ENAV)
- Build sales teams in Milan and Rome (around 15 people)

TARGET
40+ enterprise contracts · €60M annual revenue

PHASE 03 2028

Partnership Expansion

- Sign wholesale agreements with one or two Italian telecom operators
- Launch co-branded rural broadband packages
- Plug into the Italy 1 Gigabit national plan
- Terminals eligible for EU Recovery Plan vouchers

TARGET
100,000 rural sites connected · €180M revenue

PHASE 04 2029 – 2030

B2C Leadership

- Direct-to-consumer launch in rural and remote Italy
- Regional campaigns in Southern Italy, islands and Alpine valleys
- Digital-literacy partnerships with Poste Italiane and local chambers
- Mass-market consumer capture

TARGET
300,000+ subscribers · €500M+ annual revenue

amazon | PARTNERSHIP STRATEGY

THREE PARTNERSHIP PILLARS TO ACCELERATE ITALY

Regulated access · subsidy engine · AWS-anchored enterprise pull

TELCO WHOLESALE

Telecom operators

Priority channel for fast distribution

PRIORITY TARGETS
Fastweb+Vodafone · Wind Tre

AVOID
TIM - dominant + antitrust risk

BUSINESS MODEL
White-label blackhaul + co-branded rural offer

VALUE FOR AMAZON
Regulatory cover + existing distribution

VALUE FOR PARTNER
Fills rural coverage gap without fibre investment

PUBLIC SECTOR & SUBSIDIES

Government & EU funds

Subsidy engine to cut adoption cost

ITALY 1 GIGABIT PLAN
Technology-neutral · satellite is eligible

EU RECOVERY PLAN
Rural vouchers up to €2,500 per site

PRIORITY REGIONS
Southern Italy and islands first

PUBLIC SAFETY
Civil Protection · Air Navigation (ENAV)

PORTS & COAST
Italian Coast Guard (Capitanerie di Porto)

ENTERPRISE ECOSYSTEM

Industry & AWS customers

Leverage Amazon Web Services pull

AWS CUSTOMER BASE
4,000+ Italian cloud customers

ANCHOR CLIENTS
Enel · UniCredit · Generali · Eni

AVIATION
ITA Airways · Leonardo · Ryanair Italy

MARITIME
MSC Shipping · Fincantieri · Italian Navy

INTEGRATOR CHANNEL
Engineering · Reply · Accenture Italy

amazon | EXPECTED RESULTS

MARKET PENETRATION OUTLOOK BY 2030

Five-year outcome under the recommended hybrid strategy

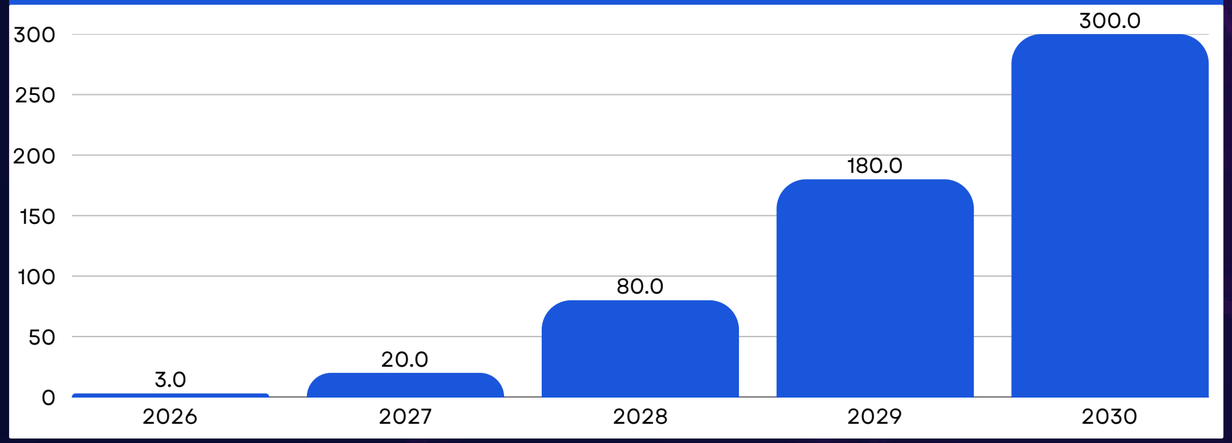
15-20%
share of Italian LEO satellite market

500+
enterprise & public sector clients

300K+
rural households connected

€500M+
annual recurring revenue by 2030

SUBSCRIBER GROWTH CURVE (000s)



KPI SCORECARD

EARLY SIGNALS

- Regulatory milestones achieved
- Pilot-to-contract conversion rate
- New partnership signings per quarter

OUTCOME METRICS

- Annual revenue growth · customer churn below 5%
- Net Promoter Score above 40
- Rural broadband coverage above 90%

WHY AMAZON LEO SHOULD WIN ITALY

A hybrid strategy that turns constraints into competitive edge

1

ENTER NOW

Starlink's Italian government deal is still unsigned - the window for a credible alternative is measured in months, not years.

2

LEAD WITH ENTERPRISE (B2B)

Start with business to business: early revenue, Amazon Web Services advantage, and manages the current satellite-deployment lag.

3

PARTNER SMART

Telecom wholesale deals plus public subsidies de-risk scaling and lower customer acquisition cost.

4

SCALE TO CONSUMERS (B2C)

Once the constellation is complete, rural Italy becomes a €1 billion+ long term opportunity.

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THANK YOU!

Victoria Carabajal · Ellee Seitz · Toscane Chemla · Athina Dimitriou · Danella Silvia · Del Grosso Chiara · Kumrija Kivjola · Raffaello Tossini · Polzella Mattia · Sotirios Panagopolous

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